

504MAN Resource Management

Procurement Management

Week 3 – Session 12

Don't forget to tap in

Our responsibilities:

- Understand why students aren't attending.
- Provide support to help you succeed.
- Be compliant with regulations and educational policies.
- Report students who are not attending to UKVI.

Your responsibilities:

- Use your own ID card to register your attendance.
- Be familiar with and follow institutional policies and legal regulations.

- !! **Do NOT tap in on behalf of other students.** This can result in a violation of visa conditions and/or institutional policy and procedures.
- !! **Do NOT give your student ID card to someone else** to let them into the library or other campus buildings as this is an offence under institutional regulations.



Extensions & Deferrals – What You Need to Know

-  Deferring may delay course progression or graduation.
- Tier 4/Student Visa holders: Deferring may affect Post Study Visa eligibility.
- For visa advice, contact: visahelp.io@coventry.ac.uk
-  Use one form per semester for multiple components/modules.
- Do not submit multiple forms.
- Form link: <https://livecoventryac.sharepoint.com/sites/students-registry-extensions-deferrals/SitePages/Extension---Deferral-Form.aspx>
-  Before submitting:
- Engage with your tutor and library academic writing support.
- Where required, seek support from our Welfare Team through Spectrum Life
- For help with form completion, contact the Student Success Coaches at Main Reception.

Intended Module Learning Outcomes

1. Analyse the importance of effective and efficient use of resources in organisations
2. Analyse principles which underpin effective procurement of resources
3. Investigate and plan the resources required to achieve an organisations aim and objectives
4. Analyse the procedures and practices that ensures resources are maximised and remedial actions taken where appropriate
5. Evaluate and appraise the use of resources against organisational plans
6. Analyse principles that underpin effective supply chain management

Individual activity – 15 minutes

- *Find a business news story about a company that has had an issue (any issue) that relates to resource management.*
- *Read the article, summarise its content and share your thoughts with the rest of the class.*

Watch

- Watch the video below or on Aula - Introduction to Procurement - What is Procurement?

https://www.youtube.com/watch?v=wPR_KoSSofA

- Does the concept of procurement make sense to you?
- Let's learn more...

PROCUREMENT

- Procurement is the full range of activities related to purchasing goods, services and works
- Procurement can range from contracting for an entire service to purchasing small assets such as office equipment
- The procurement process does not end at the commissioning or contract award stage, but spans the entire life cycle of the product or service from inception and design through to contract management and disposal of any redundant assets or the end of the useful life of an asset.
- It involves options, appraisal and the critical 'make or buy' decision.'
- **Procurement differs from purchasing in that purchasing merely reflects the act of acquisition, while procurement encompasses more elements of the supply chain (logistics, transportation etc.).**

Procurement Objectives

Procurement Objectives

Support Organisational Goals and Objectives

Develop integrated purchasing strategies that support organizational strategies. For example

- Monitoring supply markets and trends and interpreting the impact of these trends on company strategies
- Identifying the critical materials and services required to support company strategies in key performance areas, particularly during new product development
- supporting the organization's need for a diverse and globally competitive supply base

Support Operational Requirements

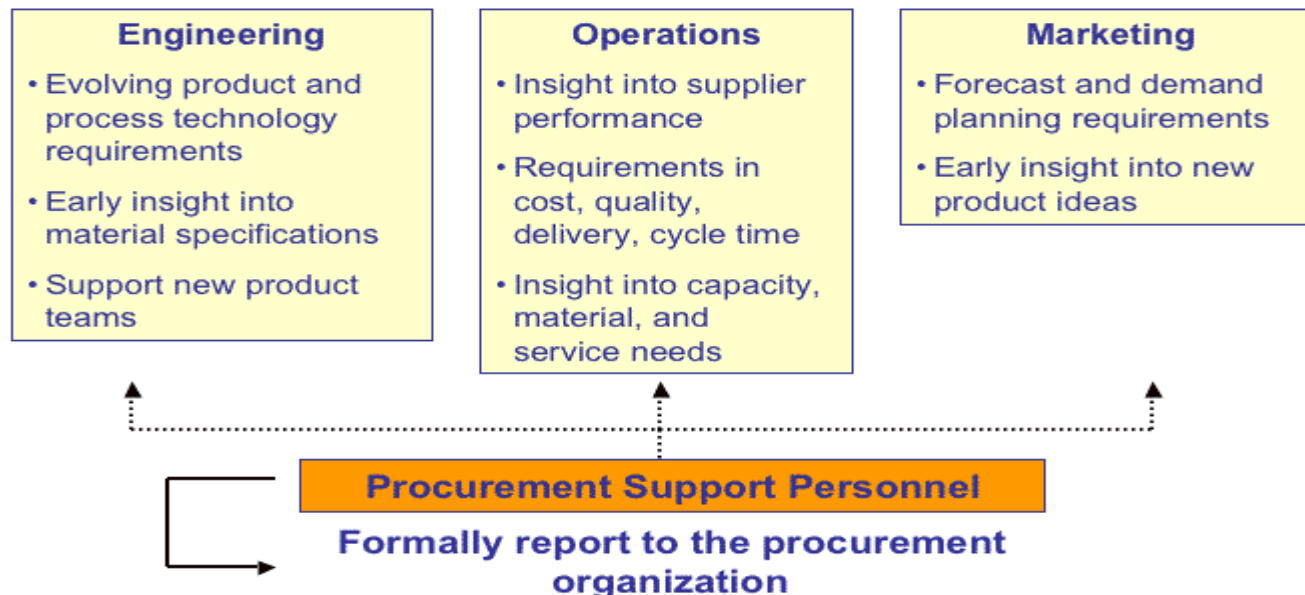
Understand business requirements i.e. requirements of each functional group within the organisation - internal customers (Engineering, R&D, IT, distribution etc.)

Buy products and services at the right price, from the right source, the right specification, in the right quantity, for delivery at the right time to the right internal customer

Procurement Objectives

Develop Strong Relationships with Other Functional Groups

Procurement support personnel will increasingly co-locate with internal customers to achieve greater understanding of requirements and integration



Procurement Objectives

Manage the Procurement Process and the Supply Base Efficiently and Effectively

- ✓ Identify opportunities where the procurement team adds true value
 - Evaluation and selection of suppliers, review of specifications or statement of work, acting as the primary contact with supplier
 - Selection, development and maintenance of supply sources
- ✓ Evaluates how well procurement keeps its promises and how well it utilizes company resources in keeping its promises



Supplier Selection and Evaluation

Supplier Selection & Evaluation

- One of the most important processes performed in organisations today is the evaluation, selection and continuous measurement of suppliers
- Supplier selection and evaluation involves stating the organisations needs and then determine how well potential suppliers can fulfill these needs

Supplier Selection & Evaluation

Examples of selection and evaluation criteria

- ❖ Cost
- ❖ Quality & Safety
- ❖ On Time Delivery
- ❖ Service
- ❖ Risk
- ❖ Social Responsibility
- ❖ Agility
- ❖ Policies
- ❖ Regulations

Quality and Procurement

Quality & Procurement

- **Quality** can be described as the *non-inferiority* or *superiority* of something. It is a perceptual, conditional and somewhat subjective attribute and may be understood differently by different people
- Consumers may focus on the **specification quality** of a product/service, or how it compares to competitors in the marketplace
- Producers might measure the **conformance quality**, or degree to which the product/service was produced correctly

Quality & Procurement

Two common quality systems/programs used by vendors:

- International Standard Organization 9000 Series (9001, 9002, 9003 etc.) and Six Sigma Concept.

The ISO series (ISO 9001, 9002, 9003) of quality standards is becoming more and more a requirement worldwide

- A set of generic standard that can be applied to any manufacturing or service industry to document, implement, and demonstrate quality management and assurance
- If the operating specifications meet ISO requirements and the company passes an audit showing it follows the specifications, it can obtain an ISO certification

Quality & Procurement

- **Six Sigma** is a fact-based, data-driven philosophy of quality improvement that values defect prevention over defect detection
- It drives customer satisfaction and bottom-line results by reducing variation and waste, thereby promoting a competitive advantage
- It applies anywhere variation and waste exist
- Basic concept is to have zero defects and zero errors
 - it suggests that there will be 3.4 defects, deficiencies or errors per one million opportunities

Quality & Procurement

Advantages of having ISO and Six Sigma Certifications

- **Cost saving** – Minimization of waste through reworking /disposal of products/services
- **Customer requirements** - No customer wants to risk a tarnished reputation with dealing with a supplier known to produce inferior goods or mediocre service
- **Corporate image** - Foster better relations with company stakeholders as adverse publicity about poor quality performance is always very damaging to a company's reputation
- **Marketing opportunities** - Consumers confidence and for participation in some markets

Quality & Procurement

- **Legislation**-ensures recognition of the requirements and compliance with them, thus avoiding fines and other penalties. Also aids in facilitating a positive relationship between regulators and companies when there is evidence of commitment to improving quality performance
- **Investment**- quality performance serves as pre-requisites for loans and is also requested by shareholders
- **Insurance**-serves as a negotiating tool for lower premiums

Global Procurement

Globalisation

- Boundaries shrinking
- Global and domestic purchasing are converging into one stream
- Interconnected World
- Competition is global
- Integrated Strategies

Globalisation

A process

- Of interaction and integration
 - People
 - Government
 - Nations
 - Companies
- Driven by
 - International Trade
 - Factor Input Strategy
 - Low cost, high quality sources of supply
 - Investment
 - Market Access Strategy
 - Sourcing in markets where significant business will be done
- Aided by
 - Information Technology

Global Procurement

AKA Sourcing

- Purchasing items anywhere
- Includes various steps:
 - Planning
 - Specification
 - Evaluation
 - Relationship Management
 - Transportation and Holding Costs
 - Implementation
 - Monitoring and Improving

Global Procurement

- Planning
 - Identifies all the steps in the procuring process
 - Assessment of opportunities and challenges
 - identify potential sources in the marketplace
 - determine the level of competition and prevailing prices, estimate cost and contract term requirements
 - determine the appropriate method of procurement
 - Local and/or Foreign
 - Limited Tender
 - Direct Contracting
 - Emergency Situations
 - Policies and procedures
 - Consistent with objectives

Global Procurement

- Specification
 - Quantifying and qualifying sources
 - Costs
 - Quality
 - Reliability
 - Standardisation
- Evaluation
 - Domestic Standards
 - International Standards

Global Procurement

Factors to consider for Transportation and Holding Costs

- Size and weight limitations
- Inspection requirements
- Marine survey
- Shipping documentation
- Preference of carriers
- Information re: routes - Port of Entry/Port of destination
- Chartering operations

Socially Responsible Procurement

Socially Responsible Procurement

- This is the concept that an organisation's responsibilities transcends economic considerations and should incorporate societal values and objectives

Dimensions of SRP

- Diversity and inclusion
- Environmental Protection
- Human Rights respect
- Ethics and Financial Stewardship (Philanthropy)
- Health and Safety
- Community Involvement

Why SRP?

- Simply good business practice
- Will have a payback to all stack holders
- Encourages the assessment of long-term consequences of professionals actions and the negative socio-economic repercussions

Individual activity – 30 minutes

- You will see three articles on Aula relating to procurement management.
 - *Intelligent procurement systems to support fast fashion supply chains in the apparel industry (use Coventry University login for full access)*
 - *How Fashion Brands Can Improve Purchasing Practices To Support Workers*
 - *Sustainable Procurement in the European Fashion Industry: A Focus on Ireland (LinkedIn article – create account)*
- Read ONE article and summarise your learning.
- Share your understanding of the article with the rest of the class.

Traffic Light *it*

Where is your learning at?



Activity

5 minutes



Red = I have misunderstood some of the topics. (write down 2 questions that you need help with)

Amber = I have understood most of the topics so far (write down 1 question and 1 key theme you have understood)

Green = I have understood the topics so far (write down 2 key themes from the lesson to show your understanding)

Reading



Essential Reading

- Torrington, D., Hall, L., Atkinson, C. (2025). *Human Resource Management* (12th edition). Pearson
- Torrington, D., Hall, L., Atkinson, C. (2020). *Human Resource Management* (11th edition). Pearson

Recommended Reading

- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2024). *Fundamentals of human resource management* (Ninth edition). McGraw Hill.
- Noe, R.A., Hollenbeck, J.R., Gerhart, B.A., & Wright, P.M. (2022). *Human resource management: gaining a competitive advantage* (Thirteenth edition). McGraw Hill.
- Heizer, J., Render, B., & Munson, C. (2024). *Principles of Operations Management: Sustainability and Supply Chain Management* (Twelfth edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2024). *Operations and process management* (7th edition). Pearson.
- Slack, N., & Brandon-Jones, A. (2018). *Operations and process management principles and practice for strategic impact* (Fifth edition). Pearson.
- Hill, A., & Hill, T. (2011). *Essential operations management* (Second edition). Palgrave.

Additional Reading

- Bratton, J., & Bratton, A., (2022) *Human Resource Management: A critical approach*. 7th edn. London UK: Bloomsbury Publishing Plc
- **CMI Website : Management Direct**